

LIND pitch deck

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PITCH — LIND — VERDICT

ADJUDICATED 2026-08-18 — KILL

What we believe

Lindblad Expeditions runs small-ship expedition cruises — Galápagos, Antarctica, Alaska — under a National Geographic brand alliance that runs through 2040. Our original reason for looking at it was a moat argument: the Galápagos operates on a fixed number of government permits (“cupos”), Antarctic operations are constrained, and therefore Lindblad owns a scarce, un-replicable asset that justifies paying a high multiple.

That argument is dead, and it was ours. Three independent primary-source refutations killed it:

- 1. The scarce asset has a price, and Lindblad paid it.** In January 2025 the company bought Torcatt Enterprises Ltda — the Ecuadorian holding company that satisfies the local-ownership requirement — plus two ships, for \$16.0M cash. That added roughly 45% to its Galápagos capacity (~3,000 travelers/year). Grossing that up, Lindblad's entire Galápagos permit-plus-ship franchise marks at roughly \$52–55M. Even at a generous 3x premium for control and scarcity, ~\$165M — against an enterprise value of about \$2.5 billion. The moat is 2–7% of the company's value. You cannot build a 19x multiple on 2–7% of the company.
- 2. It rents “scarce” capacity from a competitor.** Lindblad chartered the *Greg Mortimer* — a ship owned by rival Aurora Expeditions — for Alaska 2027–2030. (See the honesty note below: our red bench overreached on this one.)
- 3. Antarctic capacity is growing, not capped.** Aurora added ~30% more expedition passengers and launched the *Douglas Mawson* in November 2025; HX ran a record season. The supply ceiling we assumed simply does not bind.

Strip the moat away and what remains is an operating business that, in the best quarter it has had in a decade — 91% occupancy — produces roughly \$16–21M of pretax income against \$47.25M of annual interest on \$675M of 7.00% notes. Bankruptcy-distance score (Altman Z) is 0.84. Trailing twelve months it lost money on a GAAP basis. It trades at 18.1–19.5x EBITDA.

Our conclusion: **avoid at \$32.77. No position, no order, no size.**

What the market believes

The market believes this is a high-quality luxury travel operator in a structurally growing niche, compounding through asset-light expansion, with a brand alliance no one can replicate.

The market is not obviously wrong about the business. Five covering analysts rate it Strong Buy with an average target of \$36.60 — about 12% above the tape. Consensus FY26 adjusted EBITDA is \$137.6M. Bookings are strong: unearned passenger revenue (customer deposits held for future sailings) stands at \$439.9M. Occupancy is the best in ten years and net yield rose 4% on 12% more capacity — meaning they filled new ships without cutting price. The stock is up roughly 143% over 52 weeks and sits 6.4% off its high, 188% above its low.

The market's implicit view is that peak occupancy is a new normal, that chartered growth is nearly free growth, and that a luxury operator deserves a luxury multiple. Comparable Viking (VIK) trades near 20.5x, so 18.7x for Lindblad is not an outlier inside that frame.

Why we might have edge

Honestly: **we don't, and that is the cleanest reason to walk away.**

We ran the test that matters — where does our number differ from the street's number on the thing that drives the stock? Consensus FY26 adjusted EBITDA is \$137.6M. Company guidance is \$135M at the midpoint. Our own estimate is \$133M. That is a 1.9% gap, and our bench then found a methodological error inside our own \$133M that pushes it *up* toward consensus (we imported a charter-cost increase without the revenue those charters generate).

We are not disagreeing with anybody about the operating business. When you have no disagreement on the operative number, you have no edge — regardless of how interesting the company is. That, not the thin analyst coverage or the small market cap, is why there is nothing here.

The one place we did have a differentiated read is the moat, and the differentiated read turned out to be that the moat is *worth less* than assumed — which argues against ownership, not for it. There is a real moat, it is just small and already paid for: Lindblad holds roughly 206 of ~600 total Galápagos berths, about a 34% share, and the Ecuadorian-ownership rule is genuinely binding on some buyers (Celebrity exited Galápagos partly because of it and could only sell to a qualifying buyer). Real. Small. Already in the price. Marked at ~\$52M against \$2.5B.

Why it might be priced in

Almost all of it is priced in, and then some. Specifically:

- **The good news is the base case.** 91% occupancy is the decade high, not the run rate. Prior-year comparable was 86%. The next leg of growth has to come from price, not from filling seats — and the seats are already full.
- **Growth is chartered, which flatters returns and hides the cost.** Charter commitments step from \$9.1M in H2 2026 to \$21.9M in 2027. That is contractually committed cash cost against revenue that has to be earned each season.

- **The financing is expensive and fixed.** \$675M of notes at 7.00% = \$47.25M of interest per year, versus \$16–21M of pretax income at peak.
- **There is a working-capital tail nobody is pricing.** Customer deposits of \$439.9M exceed total cash of \$318.9M, against a stockholders' deficit of \$(195.8)M ([10-Q, June 30 2026](#)). A 10% decline in bookings unwinds roughly \$44M of cash — against \$47.25M of annual interest. The company is financed in part by its own customers, and that financing reverses fastest exactly when trading turns down. This tail is not bounded, which means we could not own this even at a price we thought was fair.

What is *not* priced in — the risks — are the things above. What is priced in is every operational success.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Galápagos permits are scarce and unbuyable	Primary transaction + issuer 10-K	Lindblad bought the permit-holding vehicle (Torcatt) plus two ships for \$16.0M cash, closed Jan 9 2025; +45% Galápagos capacity	REFUTED — moat is buyable and the price is disclosed
That transaction prices the whole franchise	Berth arithmetic	~\$250k/berth × ~206 berths ≈ \$52M; at 3x premium ~\$165M vs EV ~\$2.5B = 2–7%	CONFIRMED
Antarctic capacity is capped	Operator/IAATO disclosure	Aurora +30% expeditioners, new <i>Douglas Mawson</i> hull Nov-2025, HX record season; IAATO is voluntary and only the 100-ashore rule binds	REFUTED
There is <i>some</i> real moat	Competitor exit record	Ecuadorian-ownership rule is binding on a class of buyer (Celebrity exited, could only sell to a qualifying buyer); Lindblad holds ~34% of Galápagos berths	CONFIRMED — but already capitalised at ~\$52M
Enterprise value and multiple	10-Q + live price	65,515,419 sh × \$32.77 = \$2,147M, + \$675M debt, – \$318.9M cash, + \$33.4M redeemable minority interest that our original brief omitted = ~\$2.50–2.54B → 18.1–19.5x	CONFIRMED — our own brief understated the multiple by a full turn
Earnings power at peak	10-Q segments + note interest	H1 adjusted EBITDA \$67.29M; \$47.25M annual note interest; FY26 pretax ≈ \$16–21M	CONFIRMED (range, see bench error below)
Occupancy lever	Company results	91% vs 86% prior year; net yield +4% on capacity +12%; charter hire steps \$9.1M → \$21.9M	CONFIRMED
Deposit terms have been loosened (our own signal)	expedition_inventory connector	Baseline: 59.6% of departures sold out, 0 of 72 itineraries showing fare cuts, 66 of 72 offering “50% Reduced Deposit” — but both re-runs crashed (TypeError: _ok() got an unexpected keyword argument 'raw_response_snippet')	UNCONFIRMED — single observation, no time series. Cannot tell a standing offer from fresh discounting

Claim	How checked	Found	Confirmed?
Exit liquidity	Volume pull	~820,598 shares/day ≈ \$23–27M/day; float 49.4M; short interest 5.83M shares	CONFIRMED — adequate for any size we would take
Numbers agree across venues	Press release vs 10-Q	Q2 adjusted EBITDA \$32.5M (PR) = \$32.463M (10-Q segment sum); H1 revenue \$407.26M ties	CONFIRMED — no evidence of selective presentation. This is a positive finding about management
Our red bench: “chartering the <i>Greg Mortimer</i> refutes permit scarcity”	Blue bench check of the route	The charter is for Alaska , which has no cupo or IAATO constraint. Chartering a hull in unrestricted water says nothing about Galápagos or Antarctic permits	BENCH ERROR — category error. Downgraded from fatal to immaterial
Our red bench: “management’s capital is fleeing the moat” (river vessels)	Blue bench check of the source	The two 120-guest Rhine–Danube vessels (<i>Connect, Evolve</i>) are chartered from Transcend Cruises, not built or owned . No capital was allocated at all	BENCH ERROR — factual. The strategic-drift observation survives; the capital-allocation kill does not
Our red bench: FY26/27 estimate of \$133M	Blue bench audit	Red imported the charter-hire cost step-up (\$9.1M → \$21.9M) without the revenue those chartered ships earn — a one-sided adjustment that manufactures a downgrade	BENCH ERROR — our estimate is too low; the real gap to consensus is smaller than 1.9%
Our red bench: pretax “\$16–18M”, earns ~nothing	Blue bench audit	The \$79M red deducted is a bridge plug (depreciation + stock comp + one-offs), not depreciation; net interest is ~\$35M after ~\$12M of interest income, not \$40M. Pretax ≈ \$21M. And H1 capex was \$14.9M against a \$30M+ depreciation run-rate, so cash earnings exceed GAAP earnings	BENCH ERROR — direction right, magnitude overstated. Correct framing: “GAAP-thin, cash-positive, at peak”
Our red bench: ownable at \$12–14	Blue bench comp audit	Red normalised correctly but valued a luxury operator on mass-market cruise comps (RCL/CCL at 9–11x). RCL actually trades 12.09x forward; the true luxury comp Viking trades ~20.5x. At 13–15x on red’s own normalised \$105–120M: \$14.90–\$21.54/share	BENCH ERROR — red’s band was 40–50% too low. Blue’s \$15–21 is the adjudicated band
Our red bench: Torcatt facts	Issuer’s own 10-K vs trade press	Red cited “\$17M, 2024” from trade press; the filing says \$16.0M cash, closed January 9, 2025	BENCH ERROR — minor; conclusion unaffected
Our original brief: price and drawdown stats	Live tape	Brief said \$31.7376, “+179% off low”, “–9.3% off high”. Actual: \$32.77, +188.2% off low, –6.4% off high	BENCH ERROR — stale inputs in our own screen row
Our routing layer sent this to the wrong detectors	Detector audit	Seven California municipal land-secured detectors fired on LIND because it matched a <code>land_secured_district</code> feature it does not have; three city building-permit connectors (Albuquerque, Austin, Bozeman) fired on a	CONFIRMED DEFECT — geographic and sector connectors must check a resolved facility/industry, not

Claim	How checked	Found	Confirmed?
		construction_activity_claim for a company that builds nothing in those cities	just a feature tag. Logged for repair

PROPOSED ENTRY BANDS

There is no entry. No position, no order, no size, at any price today. What follows are the conditions under which this file reopens — taken verbatim from the adjudication, not invented here.

Reopen price band: \$15–21. This is blue's band, which overturned red's \$12–14. Derivation: normalise occupancy from the peak 91% back to last year's 86% — about 5 points × ~\$9.3M of revenue per point × ~65% incremental margin ≈ -\$30M — giving normalised adjusted EBITDA of \$105–120M. Apply 13–15x (honest luxury comps: RCL 12.09x forward, Viking ~20.5x; not the 9–11x mass-market set red used). That is EV \$1,365–1,800M, less \$389.5M of net debt and minority interest, = **\$14.90–\$21.54 per share**. Roughly 40% below the current \$32.77.

Reopen gate, restated: EV/EBITDA below 12x on a non-peak year. Not below 10x — that is a mass-market multiple applied to a luxury operator and would never print here.

Sizing if it ever reopens: zero until the working-capital tail is bounded. Even at a price we consider fair, customer deposits of \$439.9M exceeding cash of \$318.9M against a stockholders' deficit is an unbounded downside tail. Fair price alone does not make this ownable; the tail has to be bounded first.

Three ways the thesis comes back to life (any one reopens the file):

- 1. Moat repricing — the only route back to a moat-based valuation.** A Galápagos cupo transaction at *much* more than the ~\$250k/berth-equivalent Lindblad itself paid, or credible evidence that Ecuador is retiring cupos. Absent that, the moat stays marked at its own transaction price.
- 2. FY27 guidance of at least \$165M adjusted EBITDA on flat owned capacity.** That would prove yield, not occupancy, is driving the business — the one thing that survives peak occupancy. (Date not confirmed; historically guided with Q4 results, which we have not verified.)
- 3. A fixed-price newbuild contract with committed financing at under 8x incremental EV/EBITDA.** The chartered river-boat allocation is the current counter-evidence.

Dated catalyst: 2026-11-03, Q3 results. This date is derived from a market-data provider and is **NOT confirmed by any company announcement** — treat it as approximate until a company press release names it. What decides it: a sequential build in unearned passenger revenue **above \$60M**, *together with* a repaired expedition_inventory series showing the share of itineraries offering reduced deposits **falling**. That pair — and only that pair together — would refute both the customer-financing decay concern and the deposit-discounting concern at once. Either one alone proves nothing.

No trims or exits apply — we hold nothing.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 15.0 (deck-provisional: Bottom of reopen band; below here only the solvency question remains open)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Newbuild or charter contract terms - tests the <8x incremental EV/EBITDA with committed financing reop)
- dated pack LIND|2026-11-03: ONE NUMBER decides it: the SEQUENTIAL change in UNEARNED PASSENGER REVENUE. H1 built +\$78.4M and that build was 72% of all operating cash fl

What remains unverified

Stated plainly, these are the things we did not establish:

- **The deposit-concession finding.** One observation, two crashed re-runs. We do not know whether “50% Reduced Deposit” on 66 of 72 itineraries is a new concession or a standing marketing term. It reads as a bearish signal and we are not entitled to use it as one.
- **The Q3 print date.** 2026-11-03 comes from a market-data provider, not from the company. Unconfirmed.
- **Our own normalisation assumption.** The \$105–120M normalised EBITDA rests on occupancy reverting from 91% to 86%. That is our judgment, not the street’s and not the company’s. Conviction on the moat kill is 9/10; conviction on the price band is 7/10. If occupancy holds at 91%, the reopen band is too low.
- **Hiring and staffing velocity.** No job-posting data was pulled (tooling unavailable). This would have independently tested whether the 12% capacity ramp and charter deployment are being staffed as planned. Recorded as a gap, not as a clean check.
- **The exact FY26 outcome.** Consensus \$137.6M, guidance \$135M, our (too-low) \$133M. The dispersion is small and none of the three is verified.
- **Whether the *Greg Mortimer* charter and the Transcend river charters are accretive.** Blue established that red’s cost-only treatment was wrong, but nobody produced the revenue side. Direction unknown.
- **Whether Ecuador’s ownership rule survives.** The moat’s entire remaining value depends on a foreign regulatory regime we have no monitoring on.

Two things we can say with confidence and should say symmetrically: **management’s disclosure is clean** — the press release and the 10-Q tie exactly, the Torcatt price is disclosed, the litigation and minority-interest notes are complete, and there is no evidence of selective presentation anywhere in this file. And **the business is genuinely performing** — best occupancy in a decade, yield up on capacity up, no fare cutting detected across 72 itineraries. This is not a bad company. It is a fully-priced, thinly-

capitalised, peak-cycle company where we have no disagreement with the market. That is the reason for the kill.

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